

Machine Learning for teens

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Supervised vs. Unsupervised Learning

- ▶ **Supervised learning:**

- ▶ You have input features **and** a known **target (label)**. The model learns to predict that target.

- ▶ **Unsupervised learning:**

- ▶ You have input features **but no target**. The model tries to find patterns, structure, or groupings in the data on its own.

Types of supervised learning

- ▶ Regression
 - ▶ Once you have continuous target value
- ▶ Classification
 - ▶ You have discrete target value

Sigmoid function

- ▶ In mathematics, sigmoid function is function that convert any value to a value between 0 and 1
- ▶ Z is any number
- ▶ Y is a number between 0-1

$$y = \frac{1}{1 + e^{-z}}$$

Relationship between Sigmoid function and Logistic Regression

- In logistic regression, we first calculate a linear combination of the input features, then pass it through the sigmoid function to get a value between 0 and 1

$$z = \beta_0 + \beta_1 x_1 + \beta_2 x_2 + \dots + \beta_n x_n$$

linear regression

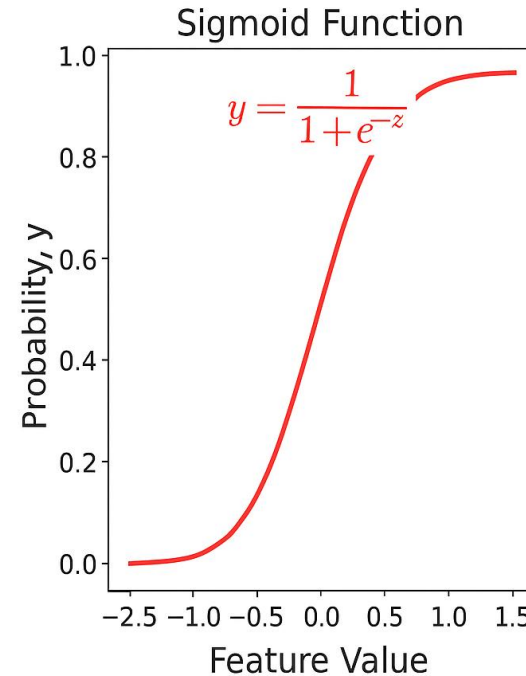
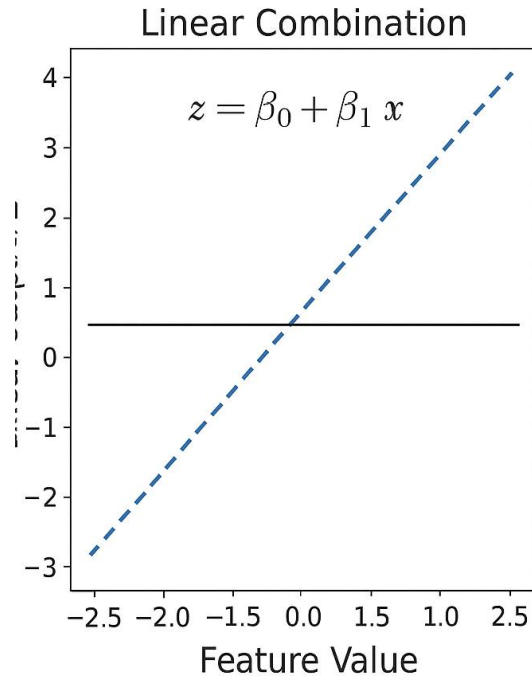


sigmoid function

$$y = \frac{1}{1 + e^{-z}}$$

- Logistic regression is a supervised machine learning algorithm used for classification task

Relationship between Sigmoid Function and Logistic Regression



Manual Churn Prediction with Sigmoid

- ▶ **1. Create a Sample Dataset**
 - ▶ Age
 - ▶ Total_Purchase
 - ▶ Account_Manager
 - ▶ Years
 - ▶ Num_Sites
 - ▶ Churn (target variable)
- ▶ **2. Define the Sigmoid Function**
- ▶ **3. Assign Weights and Bias**
- ▶ **4. Compute Churn Probability Row-by-Row**
- ▶ **5. Classify Churn Based on Threshold**
- ▶ For more detail see [here](#)

Confusion Matrix

- ▶ A confusion matrix is a simple table that shows how well your model is performing by comparing its predictions to the actual results.
- ▶ Upload churn data from [here](#)
- ▶ Churn means
 - ▶ Churn = Yes → The customer left (canceled, unsubscribed, switched providers)
 - ▶ Churn = No → The customer stayed

Confusion Matrix

► The 4 Confusion Matrix Categories

Term	Meaning	Model Said	Reality
TP	Correct churn prediction	Churn	Churn
TN	Correct no-churn prediction	No churn	No churn
FP	Wrong churn prediction	Churn	No churn
FN	Missed churn	No churn	Churn

Confusion Matrix

		Actual Values	
		Positive (1)	Negative (0)
Predicted Values	Positive (1)	TP	FP
	Negative (0)	FN	TN

key metrics

- ▶ Accuracy
 - ▶ How often is the model right?
- ▶ Precision
 - ▶ When the model says “churn,” how often is it correct?
- ▶ Recall
 - ▶ Out of all actual churners, how many did the model catch?
- ▶ F1-Score
 - ▶ A balance between precision and recall.

$$\text{Accuracy} = \frac{TP + TN}{TP + TN + FP + FN}$$

$$\text{Precision} = \frac{TP}{TP + FP}$$

$$\text{Recall} = \frac{TP}{TP + FN}$$

$$F1 = 2 \times \frac{\text{Precision} \times \text{Recall}}{\text{Precision} + \text{Recall}}$$

Scaling

- ▶ Scaling improves accuracy because it puts all features on the same scale, so the model treats them equally during training.
- ▶ See the end of the script where I applied scaling. If you look at the result, you'll see that scaling improves the outcome.

Assignment

- Use the Titanic dataset and apply logistic regression to predict who survived.